

Thematic Funds of Funds: Trend-Focused Investing

In today's dynamic investment landscape, thematic funds of funds have become a popular choice for investors who want to balance diversification with targeted exposure to specific market trends. These funds let you invest in promising themes or ideas—like technology, renewable energy, or consumption-driven growth—while spreading your risk across multiple underlying mutual fund schemes. Essentially, they offer a smart way to explore new opportunities without putting all your eggs in one basket.



■ Sandeep Garg
Managing Director
VSN Fininvest Pvt Ltd

What are Thematic Funds of Funds?

A thematic fund of funds is a mutual fund that invests in other mutual fund schemes that are aligned with a specific theme. Unlike sectoral funds that focus on a single industry, thematic funds concentrate on a broader investment idea or trend, such as digital transformation, renewable energy, emerging markets, or consumption-driven growth. By investing in multiple underlying funds, a thematic fund of funds offers both theme-based exposure

and risk diversification.

Key Features

- 1. Diversification Across Schemes:** Instead of investing directly in stocks or bonds, these funds allocate capital across multiple mutual fund schemes, reducing concentration risk
- 2. Thematic Exposure:** Investors gain access to a carefully selected theme that reflects a long-term growth story or market trend
- 3. Professional Management:** Fund managers select the underlying schemes and monitor them to ensure alignment with the theme
- 4. Simplified Access:** These funds offer retail investors an easy way to invest in emerging trends without the need to analyze individual stocks or sectors

Benefits of Thematic Funds of Funds

- 1. Focused Growth Potential:** Thematic funds aim to capture opportunities in fast-growing trends and sectors
- 2. Risk Management:** Diversifying across multiple funds reduces the risk associated with any single underlying fund
- 3. Convenience:** Investors benefit from expert fund selection and rebalancing handled by professional managers

Things to keep in mind

Long-Term Horizon: Thematic funds are best suited for investors with a long-term perspective (typically 5 years or more) due to the potential volatility in theme-specific markets.

Risk Appetite: As these funds often invest in equity-heavy schemes, they are more suitable for investors with a higher risk tolerance.

Theme Performance: The success of the investment is linked to the growth of the underlying theme, which may be affected by economic cycles, regulatory changes, or technological disruptions.

Who should consider investing?

Thematic funds of funds are ideal for: investors looking to align their portfolios with long-term trends or market innovations. Those seeking professional management of diversified thematic investments and individuals willing to take moderate to high risk in pursuit of higher returns.

Also, investing in a thematic fund-of-funds is generally tax-efficient. Capital gains realized after a holding period of at least 24 months are taxed at 12.5%.

Conclusion

For investors aiming to combine strategic market exposure with professional fund management, thematic funds of funds provide a compelling solution. By focusing on emerging themes and diversifying across underlying schemes, these funds offer both growth potential and risk mitigation, making them a valuable addition to a long-term investment portfolio.

However, investors should remember that thematic funds carry the same risk as direct thematic exposure; primary among them is the potential for underperformance if the chosen theme fails to materialize as expected. Thus, it is prudent to allocate only a modest portion of a portfolio to thematic funds and keeping the balance in more diversified assets.